UNLOCK GROWTH WITH MEZZANINE FINANCE

Mezza….what?

9 Pages

5 min read

Intermediate Level

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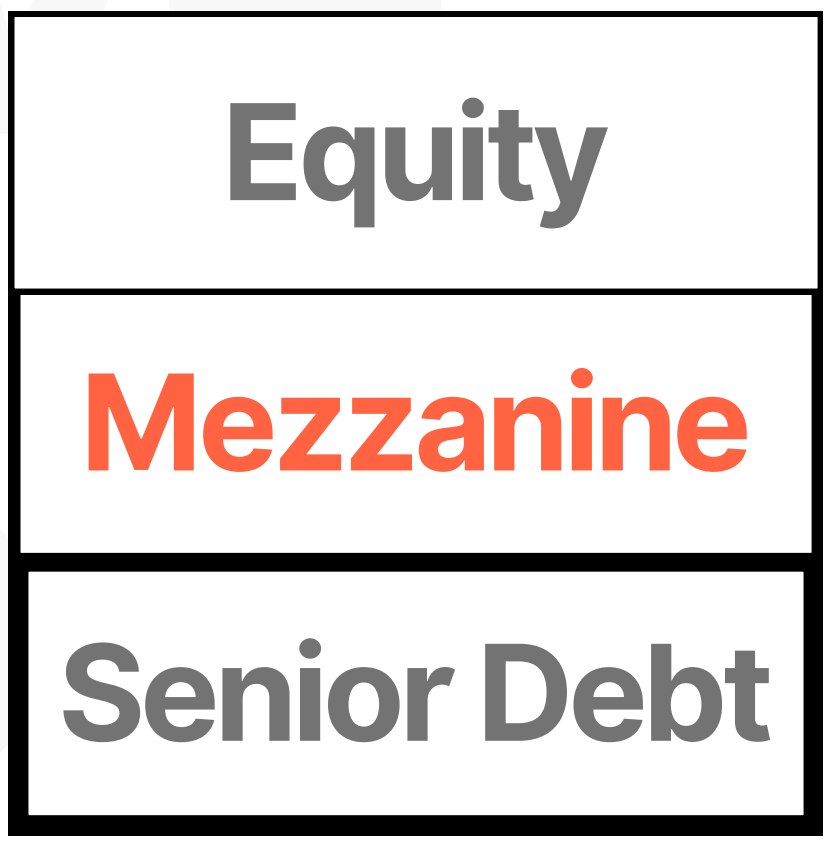
What is Mezzanine Finance?



A financing layer between senior debt and equity. Think of it as the middle ground to fund growth without losing control of your company.

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Why Businesses Choose Mezzanine Finance?

Funds expansion, acquisitions, or buyouts.

Reduces equity dilution for owners.

Attracts senior lenders by improving creditworthiness.

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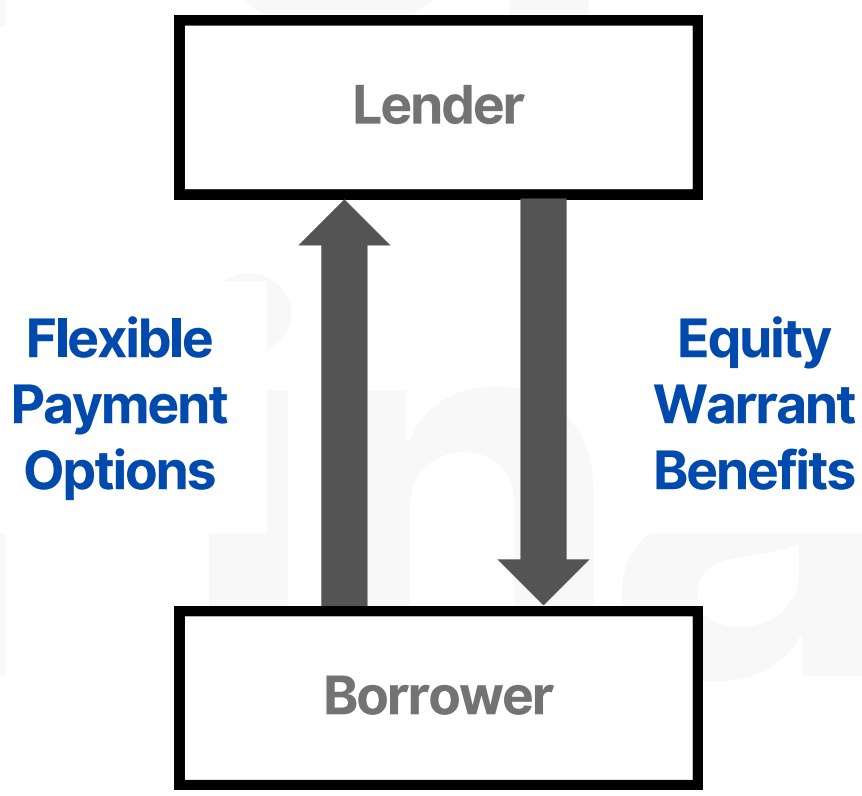
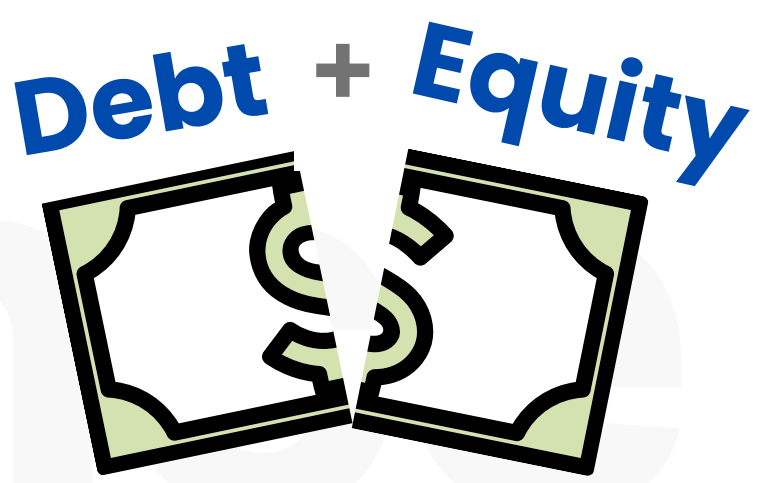
How Does it Work?

- Structured as subordinated debt or preferred equity.
- Offers flexibility in payments (e.g., cash or "pay-in-kind").
- Often includes equity-like benefits like warrants.





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Who Can Use It?

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- Growing businesses needing extra capital.
- Owners planning succession or buyouts.
- Companies aiming to improve their capital structure.

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Advantages of Mezzanine Finance

Less costly than equity financing.

Flexible repayment terms.

Enhances return on equity.

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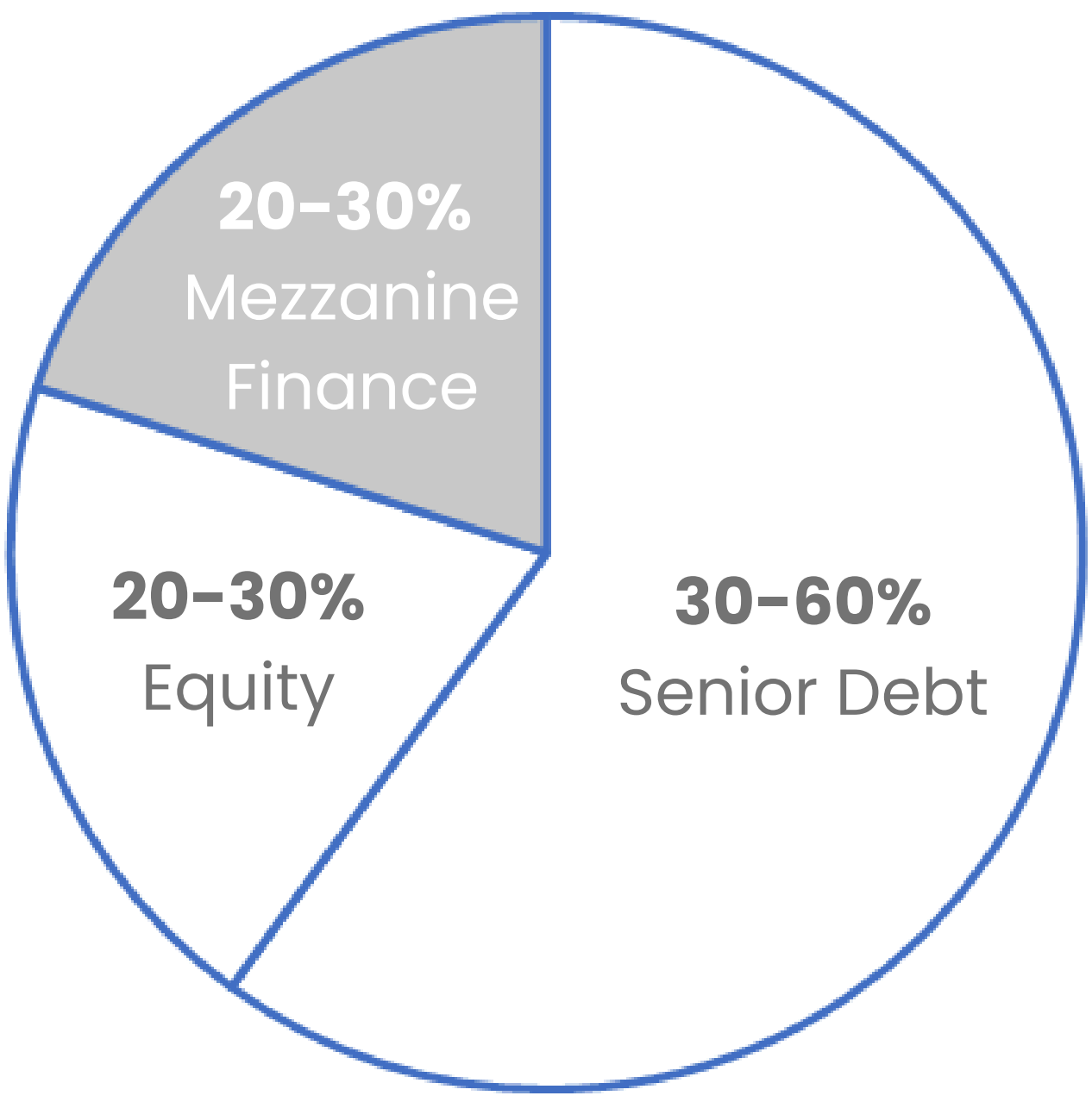
Optimizing Capital Structures



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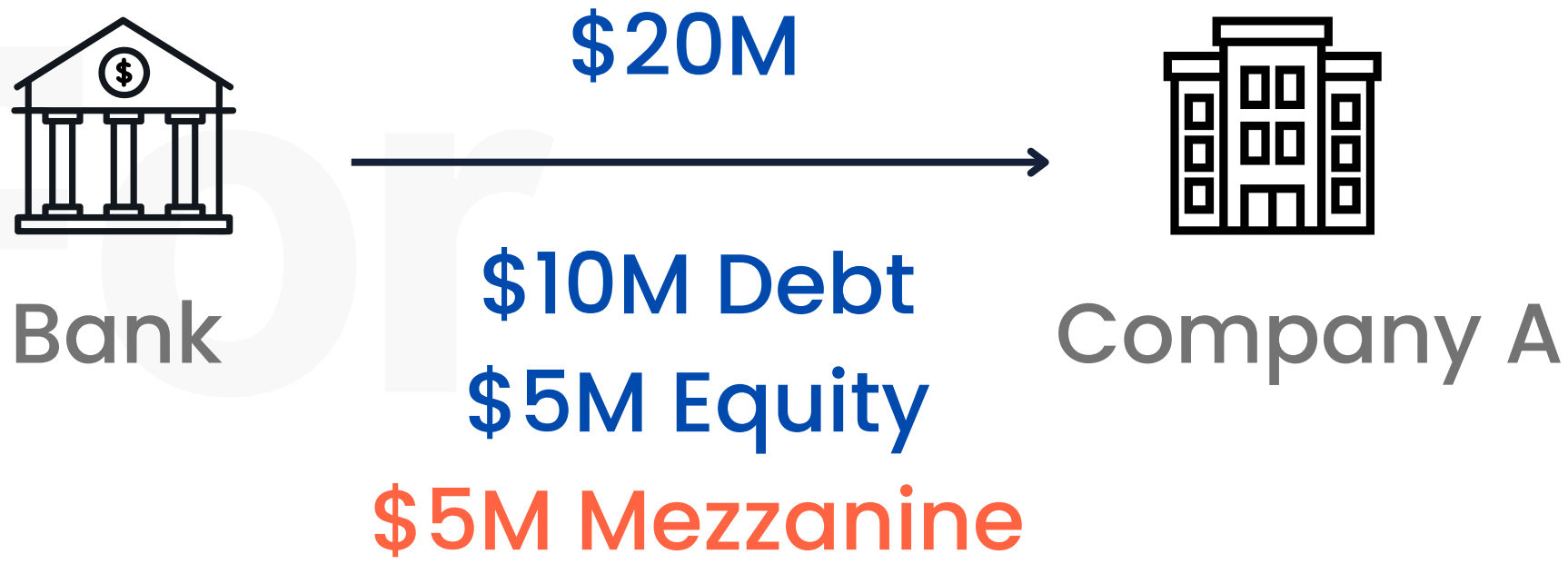
A Very Simple Example

Company A needs $20M.



Result: Company A retains more control!

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Risks to Consider

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Higher interest rates than senior debt.

Requires regular payments (unless structured as PIK).

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Take a moment to reflect...

What motivates mezzanine investors to **balance returns and flexibility**?

How does this influence their **structuring preferences**?

How does the inclusion of mezzanine finance influence a company's **WACC** compared to an all-equity strategy?

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Reflect.
Rise.

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Source: Bond Capital

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